

Annual Report FY2025

Aldergrove Instruments Ltd. — for the financial year ended 31 March 2025.

Letter from the Chief Executive

FY2025 was a year of consolidation and expansion in equal measure. Revenue reached \$84.6 million, an increase of 17 per cent on the \$72.3 million recorded in the prior year. That growth was driven principally by the first full year of AX-7300 shipments.

We opened a second facility in Halifax, Nova Scotia in March 2025, adding 14,000 square feet of manufacturing and service capacity on the Atlantic coast. The site reached operational readiness ahead of schedule.

— Priya Raghunathan, Chief Executive Officer

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Financial highlights

Measure	FY2025	Prior year
Revenue	\$84.6M	\$72.3M
Gross margin	61%	58%
R&D; expenditure	\$12.4M	\$10.1M
Operating expenses	\$41.2M	\$36.8M
Net income	\$9.8M	\$6.2M
Cash and equivalents	\$31.5M	\$24.9M
Headcount at year end	340	298

Gross margin improved to 61 per cent, reflecting a favourable shift in mix towards the current-generation instrument and a full year of the revised supplier agreement for titanium housings.

Research and development expenditure rose to \$12.4 million, representing approximately 15 per cent of revenue. The majority was directed at the next-generation platform and at the on-device classification work described in our published research.

Segment review

Segment	Revenue	Share
Instruments	\$58.1M	69%
Services	\$16.9M	20%
Software	\$9.6M	11%

Instruments remains the core of the business. Services — calibration, repair, and deployment support — grew fastest in percentage terms, helped by the depot capacity added in Halifax, Nova Scotia.

We ended the year serving 412 active customers across 31 countries. Europe remains our largest market by revenue.

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Operations

Manufacturing throughput increased without a proportionate increase in headcount, reflecting investment in test automation at the Richmond site. Median service turnaround fell from nineteen days to eleven days over the course of the year.

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People

Headcount at year end was 340, up from 298. Voluntary attrition was 7.4 per cent. We continued to recruit into engineering and field service, and expect the majority of near-term hiring to be at the Atlantic site.

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Outlook

We expect continued growth in the year ahead, weighted towards the second half as the Atlantic facility reaches full utilisation. Capital expenditure is expected to normalise following the facility investment.

This report contains forward-looking statements that involve risks and uncertainties. Actual results may differ materially.

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Notes to the summary financials

These summary financial statements are extracted from the audited financial statements and do not constitute statutory accounts. All figures are stated in Canadian dollars unless otherwise indicated.

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